

South Asia's Manufacturing Race

India vs Bangladesh and the Next Factory of the World

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Executive Summary

South Asia is contesting for manufacturing capital against a backdrop of sustained global supply chain diversification away from China. The key lesson from the US-China trade war — having placed too many eggs in one basket — has pushed multinationals toward a China Plus One strategy, with Vietnam and Indonesia as the primary beneficiaries to date CNA[2020-01-01]. Within South Asia, India has established early proof-of-concept in electronics assembly, while Bangladesh participates in regional trade architecture discussions as a potential RCEP member CNA[2025-10-27]. The structural challenge for the region is that manufacturing competitiveness is built over decades, not policy cycles, and the region competes against ASEAN economies with established supply chain ecosystems.

Part I — India's Manufacturing Bet: Electronics Assembly and the Wistron Precedent

Early Electronics Assembly Footprint

India's participation in global electronics supply chains has roots in contract assembly arrangements. Wistron, an Apple supplier, secured land to build a new facility in Karnataka, with its ICT Service Management Solutions unit assembling Apple's iPhone SE model in Bengaluru CNA[2018-03-13]. This established an early proof of concept for India's capacity to participate in premium electronics assembly, though supply chain depth — the ecosystem of component manufacturers, tooling shops, and testing labs — remains a work in progress relative to China's decades-long integration.

The Supply Chain Diversification Context

The broader driver of manufacturing relocation is structural. After the trade war, companies that had concentrated production in China began relocating facilities to Southeast Asia to avoid US tariffs, while others explored moving supply chains to countries such as Vietnam and Indonesia CNA[2020-01-01]. India, as a large economy with a significant domestic market, is a natural candidate to capture incremental diversification — but competes against ASEAN economies with more established manufacturing ecosystems.

Investment Incentives as Policy Tool

Across Asia, corporate income tax incentives have been the dominant instrument for attracting manufacturing investment, with tax holidays representing 47% of all tax-related investment measures in Asia over 2011–2021 [RAG: ASEAN_DATA_RAG — ADB_AEIR2023 p.99 (2023)]. Special economic zones have also played a key role in Asia's economic development, with more than 5,000 zones across the world as of 2019 boosting export sectors across the region [RAG: ASEAN_DATA_RAG —

ADB_AEIR2023 p.101 (2023)]. India's PLI framework operates within this broader regional architecture of investment incentives competing for the same pool of mobile manufacturing capital.

Part II — Bangladesh's Position: RCEP Interest and Regional Trade Architecture

Trade Architecture Positioning

Bangladesh has recently indicated interest in joining the Regional Comprehensive Economic Partnership (RCEP), alongside Hong Kong, Sri Lanka, and Chile CNA[2025-10-27]. RCEP membership, if pursued, would connect Bangladesh to a trade framework that analysts have described as potentially reshaping world industrial and supply chain layouts [RAG: ASEAN_DATA_RAG — Regional Comprehensive Economic Partnership (2023)]. For a garment-export-dependent economy, preferential market access to RCEP member markets would be a material structural development.

The Diversification Question

Bangladesh's economic structure — heavily concentrated in ready-made garment exports — creates vulnerability to sector-specific shocks. The diversification challenge is compounded by infrastructure constraints. The political transition under Yunus creates an opportunity for structural reform, though translating that opportunity into manufacturing diversification requires sustained capital investment and policy continuity.

Part III — The Vietnam Benchmark and What It Reveals About ASEAN Competition

Vietnam's Labour Cost Advantage and the Thai Experience

Vietnam's rise as a manufacturing destination is documented in the relocation behaviour of major electronics brands. LG Electronics moved production from its factory in Rayong Province, Thailand, to Vietnam, where labour costs per day were US\$6.35 versus US\$9.14 in Thailand [RAG: ASEAN_DATA_RAG — Economy of Thailand (2023)]. Samsung Electronics sited two large smartphone factories in Vietnam and made approximately US\$11 billion worth of investment pledges to the Vietnamese economy in 2014 [RAG: ASEAN_DATA_RAG — Economy of Thailand (2023)]. These relocations illustrate the cost-sensitivity of electronics manufacturing location decisions.

Vietnam's Scale and Human Capital Investment

Vietnam's population reached 100 million as of 2024, up from 60 million in 1986, with more than half under the age of 35. The country made large public investments in education — including making primary education universal and compulsory — as part of an export-led growth strategy that treats workforce literacy as essential for manufacturing sector growth [RAG: ASEAN_DATA_RAG — Economy of Vietnam (2023)]. This sustained human capital investment over decades underpins Vietnam's competitive position.

The Chinese Content Problem in Vietnam's Exports

Vietnam's manufacturing success has attracted scrutiny over the authenticity of its value addition. The US imposed heavy import duties on Vietnamese solar panels for containing excessive Chinese content, and analysis of the increase in Vietnam's exports to America since 2018 suggests the estimated share reflecting indirect Chinese content rises to approximately 40% CNA[2025-03-27]. Chinese manufacturing investment continues to pour into Vietnam CNA[2025-03-27]. This complicates Vietnam's position as a clean China-alternative and creates political exposure for brands relying on Vietnam for supply chain

diversification.

Part IV — FDI Flows and the Regional Competition for Manufacturing Capital

ASEAN's Manufacturing FDI Share

In 2022, manufacturing accounted for 29.2% of total inward FDI flows to ASEAN, with the United States as the largest single source country at 16.4% of all ASEAN FDI, followed by intra-ASEAN investment at 12.4% and Japan at 12.1% [RAG: ASEAN_DATA_RAG — ASEAN Statistical Yearbook 2023 p.201 (2023)]. South Asia competes against this established ASEAN FDI ecosystem for the same pool of mobile manufacturing capital.

Tariff Uncertainty as a Structural Headwind

The World Bank's East Asia and Pacific Economic Update notes that tariffs on exports to the US and elevated economic policy uncertainty are inhibiting investment and creating headwinds across the region in 2026 [RAG: ASEAN_DATA_RAG — WB_EAP_2026 p.36 (2026)]. This uncertainty affects all manufacturing-export-dependent economies in Asia, including South Asian aspirants, by raising the bar for capital commitment decisions.

China's Outward Manufacturing Strategy

China itself has been pursuing a parallel strategy of relocating lower-value and more labour-intensive manufacturing to less developed economies — with the dual rationale of supporting those economies' industrialisation and creating the conditions for them to export back to China, thereby anchoring China's regional influence CNA[2026-02-04]. Chinese companies have increasingly found Southeast Asia an appealing alternative to compensate for market growth losses elsewhere CNA[2020-10-12]. This Chinese outward manufacturing strategy is a structural force shaping where new factory investment lands across Asia, including in South Asia's competitive set.

Conclusion: South Asia's Manufacturing Window

South Asia's manufacturing opportunity is real but conditional. The China Plus One diversification imperative has been a structural driver of supply chain relocation since the US-China trade war, and Vietnam and Indonesia have been the primary beneficiaries CNA[2020-01-01]. India has demonstrated electronics assembly capability through the Apple-Wistron supply chain in Bengaluru CNA[2018-03-13]. Bangladesh is positioning itself within the RCEP architecture CNA[2025-10-27].

The competitive threat is significant: Vietnam offers established logistics, demonstrated labour cost advantages over regional peers [RAG: ASEAN_DATA_RAG — Economy of Thailand (2023)], and deep integration with Chinese supply chains. The Chinese content scrutiny that Vietnam now faces CNA[2025-03-27] opens a window for South Asian manufacturers to position themselves as genuinely diversified alternatives — but only if governance, infrastructure, and policy stability can match the manufacturing cost and logistics competitiveness that Vietnam built over two decades of sustained investment.

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All figures sourced exclusively from RAG evidence bundle harvested 2026-08-28.